TENTATIVE RULINGS
Judge SHEILA RECIO, Dept. W8

Law & Motion is heard on Fridays at 9:30 a.m., *unless specially set*.

CIVIL COURT REPORTERS: Department W8 does not provide the services of an official court reporter for law and motion hearings. Please see the court's website for rules and procedures for court reporters obtained by the parties.

POSTING TENTATIVES: Department W8 endeavors to post tentative rulings for law and motion hearings by 5 p.m. on Thursdays. **Do NOT call the Department for a tentative ruling if none is posted.** **The court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been prepared.**

SUBMITTING ON THE TENTATIVE: If ALL sides intend to submit on the tentative ruling, please advise the Department's clerk or courtroom attendant by calling **(657) 622-5908**. If so advised, the tentative ruling shall become the court's final ruling and the prevailing party shall file and serve a Notice of Ruling and if appropriate, prepare a Proposed Order pursuant to Rule 3.1312 of the California Rules of Court. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

NO APPEARANCES: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court will determine if the matter is taken off calendar, the tentative ruling becomes the final ruling, or a different order is issued at the hearing. (See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

REMOTE APPEARANCES: Department W8 conducts non-evidentiary proceedings, including law and motion via Zoom through the court's online check-in process available through the court's website at https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings. All counsel and self-represented parties appearing for such hearings **must check-in at least 5 minutes before** the 9:30 a.m. hearing on Friday.

The court encourages the parties and attorneys to take advantage of remote appearances for non-evidentiary hearings to reduce travel time, parking costs, and potential hearing delays. However, keep in mind that potential technological or audibility issues could arise when using remote technology, which may require a delay of or halt the proceedings. To help avoid such, please log in and test your equipment in advance of the hearing. Also, if technological or audibility issues arise during the proceeding, please call **(657) 622-5908.**

All remote video participants shall comply with the court's **"Guidelines for Remote appearances"**, found at https://www.occourts.org/system/files/guidelinesforremoteproceedings.pdf.

IN-PERSON: Parties preferring to appear in-person for a law and motion hearing may do so, consistent with Section 367.75 of the Code of Civil Procedure and Orange County Local Rule 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

August 21, 2026

#	Case Name	
1	Lynd vs. Pancho's Restaurant, Inc.	Motion to Be Relieved as Counsel of Record The court **GRANTS** the unopposed motion of attorney ANDREA SITAR (of PLEISS, SITAR, McGRATH, GATES & AJELLO) to be relieved as counsel for Defendant PANCHOS RESTAURANT, INC. The court finds moving attorney meets the requirements set forth in Rule 3.1362 of the California Rules of Court. The orders shall not become effective until the filing of a proof of service showing service of the order on the client. The court notes that Defendant PANCHOS RESTAURANT, INC may not appear without counsel. (See, e.g., *CLD Construction, Inc. v. City of San Ramon* (2004) 120 Cal.App.4th 1141, 1145 ["[U]nder a long-standing common law rule of procedure, a corporation, unlike a natural person, cannot represent itself before courts of record in propria persona, nor can it represent itself through a corporate officer, director or other employee who is not an attorney."]; *Gamet v. Blanchard* (2001) 91 Cal.App.4th

		1276, 1284, n5 [“In California a corporation may not represent itself, except in a small claims proceeding. This prohibition stems from the notion a corporate representative who would likely appear on behalf of the corporation would be engaged in the unlicensed practice of law.”].) As such, **the court sets an Order to Show Cause Why the Answer for Defendant PANCHOS RESTAURANT, INC Should Not be Stricken and Default Entered**. The OSC is **set for January 11. 2027, at 9:00 am in Dept. W08**. Moving attorney to give notice and file a proof of service within 14 days.
4	Stellantis Financial Services, Inc. vs. Taylor	<u>Application for Writ of Possession</u> The court **GRANTS** Plaintiff STELLANTIS FINANCIAL SERVICES, INC.’s unopposed application for writ of possession. Plaintiff applies for a writ of possession against Defendant DWAYNE TAYLOR concerning a 2023 Dodge Durango, Vehicle Identification Number 1C4SDJCT2PC605297 (the “Vehicle”). Plaintiff’s Application appears meritorious. Plaintiff establishes the probability validity of its claim to possession of the Vehicle. (Code Civ. Proc., § 512.040(b), 512.060(a); Holland Decl., ¶¶ 5-11). Plaintiff has established the requirements of Section 512.010 of the Code of Civil Procedure. Service now appears sufficient. (See POS, filed 5/28/26 [ROA 23].) The court denied an earlier application without prejudice because Plaintiff failed to file a timely proof of service. (See 3/13/26 Minute Order.) Plaintiff is not required to post an undertaking. The principal amount owed on the lease ($51,157.51) exceeds the fair market value of the vehicle ($42,750.00). (Holland Decl., ¶¶ 7, 11-12.)

		The Case Management Conference remains set for 11/2/26 at 10:00 am in Dept. W8. As Plaintiff has now filed a proof of service re service of the summons and complaint (ROA 23), **the court DISCHARGES the Order to Show Cause also set for 11/2/26.** Moving party to give notice.
5	Bello Guevara vs. Bayer AG	<u>Motion to Set Aside/Vacate Dismissal</u> The court **GRANTS** Plaintiffs' unopposed Motion to Set Aside Dismissal. The court dismissed this action without prejudice on 3/30/26, after Plaintiffs failed to file a status report as ordered, failed to appear for the Order to Show Cause re Dismissal on Settled Case, and defense counsel stated that Plaintiff's counsel had been unresponsive to communication attempts. (See 3/3/0/26 Minute Order.) Plaintiffs now move to set aside the dismissal on the ground that Plaintiffs' counsel HARRY SADEHGI admitted fault, stating he failed to appear due to a health condition. The Declarations of Harry Sadeghi and Dr. Babaali filed in support of Plaintiffs' motion sufficiently establishes grounds for either mandatory or discretionary relief. Thus, relief is granted pursuant to Section 473(b) of the Code of Civil Procedure. **The court VACATES the order of dismissal entered on 3/30/26.** **The court also sets a new Order to Show Cause re Dismissal on Settled Case for December 7, 2026, at 9:00 am in Dept W8.** No appearance is necessary if dismissal of entire action is filed and entered with the court. If dismissal of entire action is not entered, all counsel of record are to appear.

		Failure to appear will result in court dismissal of entire action. Plaintiffs' counsel of record SHALL file and serve a status report <u>no later than 10 court days before</u> the hearing. Failure to do so will result in the imposition of up to $1,500.00 against Plaintiffs' counsel of record, unless good cause is shown otherwise. (Code of Civ. Proc., § 177.5.) **Further, the court exercises its discretion and ORDERS Attorney HARRY SADEGHI to pay $500.00, payable to the Clerk of the Court, within 30 days.** Section 473(c)(1)(A) of the Code of Civil Procedure authorizes the court "[w]henever the court grants relief from a … dismissal based on any of the provisions of this section, the court may … "[i]mpose a penalty of no greater than one thousand dollars ($1,000) upon an offending attorney or party" or "[g]rant other relief as appropriate." Plaintiffs to give notice.
6	Malki vs. Karanouh	<u>Motion for Stay of Enforcement of Attorney-Fee Award Pending Appeal</u> The court **DENIES** Plaintiff WAJIH MALKI'S Motion for Stay of Enforcement of Attorney-Fee Order. <u>Background</u>: On 3/20/26, this court GRANTED Defendant ABDULMAJID KARANOUGH's Anti-SLAPP motion directed at Plaintiff's entire Complaint. On 4/6/26, Plaintiff filed a notice of appeal. And on 6/26/26, this court awarded Defendant a total of $12,112.50 after prevailing on his anti-SLAPP motion. Plaintiff now argues that enforcement of this court's order granting attorneys' fees and costs following Defendant's Anti-SLAPP ruling should be stayed pending the appeal of the Anti-SLAPP ruling. Both parties cite to *Dowling v. Zimmerman* (2001) 85 Cal.App.4th 1400. In *Dowling*, the court held: "The issue

		we must decide is whether a prevailing SLAPP defendant's enforcement of a judgment awarding reasonable attorney fees and costs under subdivision (c) of section 425.16 is automatically stayed by the SLAPP plaintiff's perfecting of an appeal from that judgment. We conclude that enforcement of such judgment is not stayed absent the filing of an appropriate appeal bond or other undertaking." (Id. at 1427.) Dowling relied on Section 917.1 of the Code of Civil Procedure, which provides: "(a) Unless an undertaking is given, the perfecting of an appeal shall not stay enforcement of the judgment or order in the trial court if the judgment or order is for any of the following: (1) Money or the payment of money, whether consisting of a special fund or not, and whether payable by the appellant or another party to the action. …" (Code Civ. Proc., § 917.1(a)(1)). In *Dowling*, the court analyzed whether the portion of the judgment awarding attorney fees and costs pursuant to Section 425.16(c) is a judgment for "money or the payment of money" within the meaning of the money judgment exception codified in Section 917.1(a)(1) of the Code of Civil Procedure. (*Dowling*, 85 Cal.App.4th at 1429.) The court held, "In our view, such a judgment entered after the granting of a special motion to strike under the anti-SLAPP statute should be treated as a judgment for 'money or the payment of money' within the meaning of the money judgment exception codified in section 917.1(a)(1) such that a bond or undertaking is required to stay enforcement of the judgment pending the disposition of a SLAPP plaintiff's appeal." (*Id*. at 1432). Here, Plaintiff has not posted a bond or undertaking and therefore the conditions for a stay have not been met. The court does not find that any of Plaintiff's other arguments are persuasive. There is no equitable basis under which the court finds good cause to stay the enforcement of the award under the court's inherent powers. Plaintiff has other mechanisms of preserving the status quo by posting a bond or undertaking on appeal but has not done so.

		Cross-border considerations or federal compliance are not relevant to the court's decision on this matter. As such, Plaintiff's request for a sixty-day stay to permit completion of an independent United States sanctions and regulatory compliance review is denied. In sum, the motion is DENIED in its entirety. Defendant to give notice.
7	Oxygen Funding, Inc. vs. Colombia Hemp International, LLC	<u>Motion for Leave to Amend</u> ***No tentative.***
8	Tekyz, Inc. vs. Gigo Clean Technology Inc.	<u>Motion for Leave to Amend</u> The court **DENIES** Defendant/Cross-Complainant GIGO CLEAN TECHNOLOGY INC. and DEFENDANT/PROPOSED CROSS-COMPLAINANT BITA SAFARI's (collectively, "Moving Parties") motion for leave to file a First Amended Cross-Complaint. Moving Parties now seek to add <u>seven</u> new causes of action and add a <u>new cross-complainant</u> (Bita Safari), because current counsel determined at some point that a new pleading was needed after conducting a thorough review of the file. Denial of leave to amend is appropriate where inexcusable delay and probable prejudice to the opposing party is shown. This may happen where a proposed amendment opens up an entirely new field of inquiry without any satisfactory explanation as to why the major change in point of attack had not been made long before trial. (*Estate of Murphy v. Gulf Ins. Co.* (1978) 82 Cal.App.3d 304, 311.) Such appears to be the case here. The amendments would likely require substantially new discovery to defend against the proposed new additional causes of action and party,

		without any explanation as to why the request was not made long ago. Notably, the original cross-complaint was filed nearly three years ago, on 9/21/23. The original trial date of 9/29/25 was continued to 4/27/26, pursuant to stipulation based on outstanding discovery and counsel recently substituting into the case. (See Stip. Filed 4/15/25 [ROA 54] and Order filed 4/18/25 [ROA 58].) Thereafter, the 4/27/26 trial date was continued to 1/11/27 pursuant to another stipulation of the parties, again based on outstanding discovery. (See Stip. & Order filed 3/5/26 [ROA 117.) When granting the second trial continuance, the court stated, "No further trial continuance without a strong evidentiary showing of good cause." (ROA 117, p. 4.) Here, the proposed amendments are not based on newly discovered facts or evidence and there is no adequate explanation for the delay in bringing this motion. Defendants' counsel substituted into this case on 12/22/25 (see ROAs 105 & 106) yet the motion was not filed until 5/18/26 (see ROA 123) without any explanation for the delay. If the party seeking the amendment has been dilatory and the delay has prejudiced the opposing party, the judge has discretion to deny leave to amend. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.) The motion for leave to amend is therefore DENIED. Trial remains set for 1/11/27. Plaintiff to give notice.
9	Wong vs. Makhail	<u>Motion for Reconsideration</u> The court **DENIES** Plaintiffs DOUGLAS WONG and JENNIFER JING's motion for reconsideration. ***Defective Notice***

As a preliminary matter, Plaintiffs' motion fails to comply with Rules 3.1110(d) and 3.1112(a) of the California Rules of Court and the motion can be denied on that basis alone.

No notice of motion was filed and the moving papers fail to state who exactly is bringing the motion. The court assumes however that both Plaintiffs are moving parties.

The moving papers also fail to specify the relief sought. After Defendants SCOUT MOURER and POWERSTONE PROPERTY MANAGEMENT raised the issue in their opposing papers, Plaintiffs filed reply papers and a declaration stating, "we ask the Court to reconsider is the order sustaining, without leave to amend, the demurrer of Defendants Powerstone Property Management ('Powerstone') and Scott Mourer ('Mourer') to our Third Amended Complaint ('TAC')." ("Declaration of Jennifer Jing and Douglas Wong", filed 8/11/26, at ¶ 3.)

As Defendants' opposing papers also address the court's order sustaining the demurrer to the Third Amended Complaint, the court proceeds on the analysis of whether the 5/15/26 order sustaining the demurrer to the TAC should be reconsidered.

Compliance with Section 1008

Plaintiffs have also not complied with Section 1008 of the Code of Civil Procedure, which governs motions for reconsideration. Section 1008(a) provides:

> "(a) When an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order. The party making the application shall state by affidavit what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown."

		(Code Civ. Proc., § 1008(a), emphasis supplied). Here, Plaintiffs do not provide any new or different facts, law or circumstances warranting reconsideration. Rather, Plaintiffs appear to re-submit the same or similar facts and arguments made previously. In sum, the motion is DENIED. Defendants to give notice.
10	Mourshaki vs. Rich	<u>Motion for New Trial</u> The court **DENIES** Plaintiffs ABRAHAM NASIRI MOURSHAKI and FATEMEH N. MOURSHAKI's motion for a new trial. The court entered judgment on 6/29/26, and the court clerk electronically mailed the judgment to the parties on 6/30/26. (ROAs 285, 288.) Thereafter, Plaintiffs timely filed a notice of intention to move for new trial on 7/14/26. (ROA 296.) Plaintiffs' notice of intention to move for new trial identified the following grounds as a basis for new trial: (1) Irregularity in the proceedings which prevented Plaintiffs from receiving a fair trial; (2) Accident or surprise which ordinary prudence could not have guarded against; (3) Newly discovered evidence, material to the moving party, which with reasonable diligence could not have been fully presented before entry of judgment; (4) Insufficiency of the evidence to justify the decision; (5) The decision is against law; and (6) Error in law occurring at the proceedings and excepted to by Plaintiffs. (ROA 296.) Despite the noticed grounds, the memorandum of points and authorities in support of Plaintiffs' motion for new trial, however, argues only that "the evidentiary record presented to the court was materially incomplete" and that "[s]ignificant documentary evidence, factual explanations, and legal authorities relevant to the issues of causation, the nature of the loss, insurance coverage, and

Defendant's alleged negligence were not fully presented or adequately developed for the Court's consideration." (Mov. Pts. & Auth. at p. 4, lines 2-5; see also id. at p. 6, lines 7-8 ["the Summary Judgment proceedings were conducted upon an incomplete evidentiary record"].)

"Where a party seeks a new trial on the grounds of newly discovered evidence, '[t]he essential elements which must be established are (1) that the evidence is newly discovered; (2) that reasonable diligence has been exercised in its discovery and production; and (3) that the evidence is material to the movant's case.' [Citation.] 'The newly discovered evidence must be material in the sense that it is likely to produce a different result.' " (*Hill v. San Jose Family Housing Partners, LLC* (2011) 198 Cal.App.4th 764, 778–779; see Code Civ. Proc., § 657, subd. 4.)

Plaintiffs argue the evidentiary record upon which the motion for summary judgment was decided was incomplete because it did not include material evidence "concerning the handling of Plaintiffs' insurance policy, the factual cause of the loss, the California FAIR Plan Association's denial of coverage, [and] the significance of wildfire-related debris flow following the Silverado Fire." (Mov. Pts. & Auth. at p. 6, lines 9-11.) The evidence proffered by Plaintiffs however is not newly discovered.

Exhibit 1 appears to consist of Plaintiffs' California FAIR Plan Insurance Policy the Dwelling Insurance Policy Declarations of which shows a policy period of 5/5/20 to 5/5/21; a Notice of Cancellation of Dwelling Fire Policy showing 9/28/21 as the Effective Date of Cancellation; a copy of a check dated 8/2/21; a screen shot of a purported withdrawal confirmation; a Receipt of First Notice of Loss dated 2/24/22; a Property Loss Notice indicated that the Current Policy Status is listed as Cancelled; and a 3/22/22 Letter confirming that Plaintiffs' policy was cancelled as of 9/28/21 due to non-payment of premium and that Plaintiffs' insurance claim was denied because there was no policy in force at the time of the loss on 12/14/21. (ROA 309.)

Exhibit 2 appears to consist of e-mail correspondence between Plaintiff Abraham Mourshaki and Defendant

		Jennifer Rich regarding Plaintiffs' August 2021 payment. (ROA 307.) The correspondence has a date range from 9/15/21 to 3/13/22. (Id.) Exhibit 3 includes a Notice re Coverage of Flood, Mudslide, and Earth Movement Claims Relating to Recent Wildfires dated 1/26/21; a construction estimate dated 9/22/21; a Contract Proposal dated 5/11/22; an undated Estimate for Mudslide Damage by Camouflage Construction; and a picture of mudslide damage followed by a website link. (ROA 311.) There is no Exhibit 4 in the Register of Actions. Exhibit 5 appears to consist of pictures from a December 2020 fire; and of pictures from the day after the mudslide. (ROA 313.) The submitted evidence apparently existed before Plaintiffs filed their initial complaint on 5/30/23. (ROA 2.) There is no indication that it is newly discovered. Even if the court were to assume Plaintiffs' proffered evidence constituted "newly discovered evidence," Plaintiffs failed to show they exercised reasonable diligence in its discovery and production. "Plaintiffs do not dispute that certain documents existed." (Reply Br. at p.2, line 26.) Plaintiffs also acknowledge their prior counsel failed "to timely present material evidence and legal arguments." (Reply Br. at p. 3, lines 6-8; see also p. 2, lines 27-28 [significant evidence was not fully presented because of counsel's procedural failures].) Additionally, a motion for a new trial based on the first four grounds enumerated in the statute (irregularity in proceedings, jury misconduct, accident or surprise, and new evidence) must be made on affidavits. (Code Civ. Proc., § 658.) A motion based on one of the remaining grounds must be made on the minutes of the court. (*Id.*; *Wall Street Network, Ltd. v. New York Times Co.* (2008) 164 Cal.App.4th 1171, 1192.) The "minutes of the court" include the records of the proceedings entered by the judge or courtroom clerk, showing what action was taken and the date it was taken, and may also include depositions and exhibits admitted into evidence and the trial transcript. (*Id.*)

As Defendant Jennifer Rich notes, Plaintiffs filed an untimely Declaration of Abraham Nasiri Mourshaki in support of their motion for new trial. Concerning motions for new trial, the Code of Civil Procedure states, “within 10 days of filing the notice, the moving party shall serve upon all other parties and file any brief and accompanying documents, including affidavits in support of the motion.” (Code Civ. Proc., § 659a.) Although due by 7/24/26, Plaintiffs did not file the supporting declaration until 8/6/26. (ROA 322.) **The court does not consider the untimely papers.** The declaration is untimely under section 659a. No extension of time for filing was requested or granted, good cause for an extension was not shown, and any extension of time cannot exceed 10 days. (See Code Civ. Proc., § 659a [“These deadlines may, for good cause shown by affidavit or by written stipulation of the parties, be extended by any judge for an additional period not to exceed 10 days.”].)

Thus, Plaintiffs’ first ground (irregularity in proceedings) and second ground (accident or surprise) fail because they must be made on affidavits and there is no timely affidavit filed. Plaintiffs’ third ground (newly discovered evidence) also fails on this basis.

Plaintiffs’ fourth ground (insufficiency of the evidence), fifth ground (decision is against the law) and sixth ground (error in law occurring at the proceedings) must be made on the minutes of the court. There are no minutes supporting the motion for new trial.

Further, Plaintiffs have not provided any legal authority to support their contention, if any, that a new trial should be granted due to irregularity in proceedings, accident or surprise, insufficiency of the evidence, a decision that is against the law, or an error in law occurring at the proceedings and, thus, have waived the contention. (*Hope v. California Youth Authority* (2005) 134 Cal.App.4th 577, 596, citing *Interinsurance Exchange v. Collins* (1994) 30 Cal.App.4th 1445, 1448 [contention is waived if not supported by legal authority].)

The motion is DENIED.

		Defendant Rich to give notice.
14	Nguyen vs. Mercedes-Benz USA LLC	<u>Motion to Compel Binding Arbitration</u> The court **GRANTS** Defendant MERCEDES-BENZ USA, LLC's ("MBUSA") motion to compel Plaintiff PETER NGUYEN to arbitrate his claims against Defendant Mercedes-Benz and staying this action pending completion of the arbitration. ***The Arbitration Agreement*** A party moving to compel arbitration bears an initial burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (See *Gamboa*, 72 Cal.App.5th at 165-166.) Here, Defendant MBUSA meets its initial prima facie burden by submitting the Motor Vehicle Lease Agreement (the "Lease Agreement") apparently executed by Plaintiff, which contains the following arbitration provision: ***Any claim or dispute***, whether in contract, tort or otherwise (including any dispute over the interpretation, scope or validity of this lease, arbitration section or the arbitrability of any issue), ***between you and us*** or any of our employees, agent, successors, assigns, or the vehicle distributor, ***including Mercedes-Benz USA LLC*** (each a 'Third-Party Beneficiary'), ***which arises out of or relates to*** a credit application, ***this lease, or any resulting transaction or relationship arising out of this lease*** (including any such relationship with third parties who do not sign this contract) ***shall***, at the election of either you, us, or a Third-Party Beneficiary, ***be resolved by*** a neutral, ***binding arbitration and not by a court action***.

(Ameripour Decl., Exh. 2, emphasis supplied.)

Plaintiff does not appear to dispute the existence, validity, or authenticity of the arbitration provision.

Plaintiff's claims fall within the broad scope of the arbitration agreement contained in the Lease Agreement/ (See, e.g., *Rice v. Downs* (2016) 248 Cal.App.4th 175, 186, as modified on denial of reh'g (June 23, 2016), as modified (June 28, 2016) [holding that examples of "broad" clauses include "any claim arising from or related to this agreement" and are sufficiently broad to include torts and claims where the allegations "touch matters" covered by the contract].)

Third-Party Enforcement

Plaintiff argues that Defendant MBUSA, a non-signatory to the Lease Agreement, lacks standing to enforce the agreement and that the *Ford Motor Warranty Cases* foreclose Defendant MBUSA's enforcement of the arbitration agreement.

The *Ford Motor Warranty Cases* provide little guidance here.

There are six theories by which a nonsignatory may compel or be bound to arbitrate. These theories are as follows: " '(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary' [citations]." (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513 [collecting cases of each theory].)

The California Supreme Court in the *Ford Motor Warranty Cases* considered and ultimately concluded that equitable estoppel did not apply to bar the plaintiffs in that case from pursuing their remedies against Ford Motor Company in court. (*Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, 1126, 1133-1138.) Here, on the other hand, Defendant MBUSA invokes an entirely different theory for enforcement: third-party beneficiary.

Third-party beneficiary doctrine provides that: “A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescinded.” (Civ. Code, § 1559.) A third party becomes a third-party beneficiary where an “intent to benefit [that] third person appears from the terms of the contract.” (See *Jensen v. U-Haul Co. of Calif.* (2017) 18 Cal.App.5th 295, 301-302 [internal quotes omitted].) “To show the contracting parties intended to benefit it, a third party must show that, under the express terms of the contract at issue and any other relevant circumstances under which the contract was made, (1) ‘the third party would in fact benefit from the contract’; (2) ‘a motivating purpose of the contracting parties was to provide a benefit to the third party’; and (3) permitting the third party to enforce the contract ‘is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.’” (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1337, citing *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 830.)

Here, the arbitration agreement expressly identifies Defendant MBUSA as a third-party beneficiary. (Ameripour Decl., Exh. 2.) By expressly designating MBUSA as a third-party beneficiary entitled to enforce the arbitration agreement, the Lease Agreement expressly benefits—and communicates an intent to benefit—Defendant MBUSA. The court finds that permitting MBUSA to enforce the arbitration provision is also consistent with the objectives of the contract and the reasonable expectations of the parties. As such, the court finds the Goonewardene elements are met.

Unconscionability

Plaintiff also argues that even if the court finds an otherwise enforceable arbitration agreement, the arbitration provision should not be enforced because it is unconscionable.

A court may refuse to enforce an arbitration agreement that is unconscionable. (Civ. Code, § 1670.5.) To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. (*Armendariz v. Foundation Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114.) The analysis employs a sliding scale: ". . . the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Ibid*; *Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 174-175.)

Procedural Unconscionability

Plaintiff argues that the arbitration agreement is procedurally unconscionable because the arbitration provision appears in small print alongside other information, and the contract of adhesion was presented in a high-pressure sales environment.

The court finds this contract of adhesion includes a modest degree of procedural unconscionability. (See, e.g., *Nguyen v. Applied Medical Resources Corp*. (2016) 4 Cal.App.5th 232, 248.)

Substantive Unconscionability

Plaintiff argues that the arbitration agreement is substantively unconscionable because the agreement deprives Plaintiff of his right to a jury trial.

"Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create 'overly harsh' or 'one-sided' results.'" (*Serafin v. Balco Properties ltd., LLC* (2015) 235 Cal.App.4th 154, 177.) "A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be 'so one-sided as to 'shock the conscience.'" (*Pinnacle Museum Tower Association v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) In assessing substantive unconscionability, the "paramount consideration" is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp*. (2004) 120 Cal.App.4th 1267, 1287.)

Plaintiff cites no authority to support his position that waiving his right to jury trial is substantively

		unconscionable, and California and federal authorities uniformly reiterate the strong public policy in favor of arbitration. (See, e.g., *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339 [holding the FAA reflects the "liberal federal policy favoring arbitration"]; *Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 686 [nothing "California has a strong public policy in favor of arbitration"].) In sum, Plaintiff shows a modest amount of procedural unconscionability but no substantive unconscionability. Accordingly, the court **GRANTS** Defendant MBUSA's motion to compel arbitration. Defendant MBUSA is the only named defendant. As such, the court also **STAYS the entire action** pending resolution of the parties' binding arbitration. **The court VACATES the Case Management Conference scheduled for 10/05/2026**. **The court hereby SETS an ADR Review Hearing for December 14, 2026 at 9:00 a.m. in Department W08.** Plaintiff **SHALL** file and serve a status report <u>no later than 10 court days before</u> the ADR Review Hearing. Defendant to give notice.
15	Christner vs. Warrior Management Company LLC	<u>Demurrer</u> The court **SUSTAINS with 20 days leave to amend,** Defendants GARRETT WHITE and DANIELLE WHITE ("Moving Defendants") general demurrer to the fifth and eighth causes of action in the Complaint filed by Plaintiff CAMERON CHRISTNER. **Moving Defendants' demurrer to other causes of action are DISREGARDED** for the reasons explained below. The Complaint contains the following <u>eight</u> causes of action against all defendants, including Moving Defendants:

			1. Nonpayment of wages 2. Failure to pay wages 3. Failure to pay overtime and double time wages 4. Waiting time penalties 5. Failure to keep and provide accurate records 6. Failure to provide meal periods 7. Failure to provide rest periods 8. Unfair business practices (Bus. & Prof., § 17200) However, Moving Defendants purport to generally demur to the following <u>nine</u> causes of action: 1. Failure to pay minimum wages 2. Failure to pay overtime wages 3. Failure to provide meal period 4. Failure to authorize and permit rest periods 5. Failure to furnish accurate itemized wage statements 6. Failure to pay wages due upon separation 7. Failure to reimburse necessary business expenses 8. Violation of Bus. & Prof. Code, § 17200 et seq. 9. Declaratory relief (See Not. of Demurrer [ROA 36], filed 6/2/26, pp. 1-2.) As Plaintiff notes in its opposing papers, the causes of action demurred to are different from those in the Complaint. (Opp'n Br., at p. 2, lines 20-24.) Moving Defendants' demurrer challenges only two correctly identified causes of action in the Complaint: the fifth cause of action and eighth cause of action. Code of Civil Procedure section 430.60 provides in relevant part, "A demurrer shall distinctly specify the grounds upon which any of the objections to the complaint . . . are taken. Unless it does so, it may be disregarded." (Code Civ. Proc., § 430.60.) The court therefore disregards the demurrer to the purported first, second, third, fourth, sixth, seventh, and ninth causes of action.

5th C/A (failure to furnish itemized wage statements) and 8th C/A (Violation of Business and Professions Code Section 17200)

The fifth cause of action alleges Defendants failed to provide Plaintiff with any itemized wage statements due to their misclassification of Plaintiff as an independent contractor. (Compl., ¶ 72.) The eighth cause of action is derivative, in part, of the fifth cause of action. The Complaint alleges Defendants engaged in unfair competition by failing to, among other things, provide Plaintiff with accurate, itemized statements as required by Labor Code section 226. (See Compl., ¶ 93(f).)

Labor Code section 226(a) requires employers to provide itemized wage statements reflecting nine items of information. Labor Code Section 218 creates a private right of action for violations of section 226. (See *Noe v. Superior Court* (2015) 237 Cal.App.4th 316, 339-340 [holding that section 218 establishes a private right of action to enforce Labor Code provisions within the article (§§ 200-244)].)

Labor Code section 588.1(a) provides for personal liability against any "other person acting on behalf of an employer." Specifically, section 588.1(a) provides,

> "Any employer or other person acting on behalf of an employer, who violates, or causes to be violated, any provision regulating minimum wages or hours and days of work in any order of the Industrial Welfare Commission, or violates, or causes to be violated, Sections 203, 226, 226.7, 1193.6, 1194, or 2802, may be held liable as the employer for such violation."

Subdivision (b) clarifies that

> "the term 'other person acting on behalf of an employer' is limited to a natural person who is an owner, director, officer, or managing agent of the employer, and the term 'managing agent' has the same meaning as in subdivision (b) of Section 3294 of the Civil Code."

		As such, the individual sought to be liable must have been "personally involved" in the alleged violations or have had "sufficient participation in the activities of the employer" such that the individual contributed to the alleged violations. (See *Usher v. White* (2021) 64 Cal.App.5th 883 [affirming grant of summary judgment where the undisputed facts showed the individual owner not participate in the decision of the business to classify plaintiffs as independent contractors, which classification was the basis of plaintiff's claims].) Here, the Complaint alleges insufficient *facts* (as opposed to conclusory allegations) to support personal liability against Moving Defendants Garrett White and Danielle White. The Complaint merely identifies the two defendants in a couple of paragraphs (Compl., ¶¶ 1 and 10) and then requests relief against them (Compl., p. 15 [Prayer for Relief].) The paragraphs in the Complaint merely alleges in conclusory fashion that the individual defendants are and were at all relevant times, officers, owners, directors, and/or managing agents of Defendants and are personally liable for violations of Labor Code. (Compl., ¶ 10.) "Bare conclusions devoid of any supporting facts … are insufficient to withstand demurrer." (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481.) As such, the court **SUSTAINS** Moving Defendants' **demurrer to the fifth and eighth causes of action**, **with 20 days leave to amend**. Moving Defendants to give notice.
16	J-CM Services, Inc. vs. Duran	<u>Demurrer</u> The court **SUSTAINS in part, and OVERRULES in part,** the demurrer filed by Defendants ALL INCLUSIVE ENVIRONMENTAL SERVICES, INC. ("AIES"), RUBEN DURAN and CHRISTOPHER WERNICKE to the Complaint filed by Plaintiff J-CM SERVICES, INC. The court GRANTS **15 days leave to amend** to address the deficiencies noted below.

			The Complaint contains the following causes of action against all named defendants: (1) Breach of contract (2) Negligent misrepresentation (3) Intentional misrepresentation (4) Improper licensing in violation of Bus. & Prof. Code § 7031 (5) Unfair competition (Bus. & Prof. Code, § 17200) (6) Constructive fraud (7) Negligence (8) Declaratory relief Defendants argue that (1) Orange County is an improper venue for this action and (2) the fraud claims are barred by the economic loss rule. ***Venue*** Venue is not a statutory basis for demurrer, nor an element of any claim. Code of Civil Procedure section 430.10 lists the objections which may be raised by demurrer and no reference to venue is included therein. In arguing that venue is appropriately raised on demurrer, Defendants cite *Douglas v. Donner Pines, Inc*. (1977) 73 Cal.App.3d 268. The court in Douglas affirmed an order sustaining a demurrer against an action to foreclose on a mechanic's lien, on the basis the claim was not initiated within 90 days after recording, in "a proper court." (*Id*. at 270.) However, in doing so, the court relied on the language of former Civil Code section 3144, which then stated: "No lien provided for in this chapter binds any property for a longer period of time than 90 days after the recording of the claim of lien, unless within that time an action to foreclose the lien is commenced in a proper court…." (*Id*. at 271.) Civil Code section 3144 was replaced in 2012 by Civil Code section 8460. While Section 8460 still requires a claimant "commence an action to enforce a lien within 90 days after recordation of the claim of lien," to avoid expiration and unenforceability, it makes no reference to a "proper court." (Civ. Code, § 8460(a).) In other words, *Douglas*

		enforced a statutory prerequisite for a foreclosure claim that no longer exists. Based on then-existing law, the identified lien was unenforceable and the complaint failed to "state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10(e).) *Douglas* does not identify a current failing in the pleading, given that Civil Code section 8460 makes no references to a "proper court." Therefore, the court OVERRULES the demurrer based on a venue argument. Similarly, to any extent Defendant intended to invoke Code of Civil Procedure section 430.10(a) – not cited in the demurrer, the argument likewise fails as "commencing the action in a county where the real property is located is now a rule of venue and no longer a jurisdictional requirement." (*Douglas v. Donner Pines, Inc*. (1977) 73 Cal.App.3d 268, 271.) Stated similarly, "the place of filing an action affecting real property involves questions of venue only, not jurisdiction." (*Nelson v. Crocker Nat. Bank (*1975) 51 Cal.App.3d 536, 540.) ***Economic Loss Rule*** Defendants next demur to Plaintiff's "fraud" claims based on the contractual economic loss rule. "[T]he rule functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties." (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922.) "[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties." (*Id*. at 923.) "Not all tort claims for monetary losses between contractual parties are barred by the economic loss rule. But such claims are barred when they arise from – or are not independent of - the parties' underlying contracts." (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 923.)

Citing only the general principle that "a party cannot recover tort damages for purely economic losses arising from a contract dispute absent an independent duty owed outside the contractual relationship," Defendants assert the Second, Third, Sixth and Seventh Causes of Action are all barred by the economic loss rule. (See Demurrer at p. 4, lines 16-18 [citing *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979], and p. 4, lines 25-28.) Three of the identified four claims, include three separate counts (See Second, Third and Seventh Causes of Action.) Consequently, the demurrer appears to challenge ten separate claims.

Defendants challenge these claims, asserting they all arise from contractual obligations. Per the Complaint, "[u]nder the Subcontract, Defendants were required to maintain a valid contractor's license and sufficient insurance for the duration of construction work." (Compl., ¶ 43. See also Compl., ¶16.)

Given the above, Defendants are correct in stating the following claims arise from contractual duties: Second Cause of Action (Count 1) [¶ 58]; Second Cause of Action (Count 3) [¶ 83]; Third Cause of Action (Count 1) [¶ 99]; Third Cause of Action (Count 3) [¶ 125]; and Seventh Cause of Action (Count 1) [¶ 169].

With respect to the above claims, Plaintiff alleges Defendants misrepresented during contract negotiations that they would maintain insurance and a valid license – representations which are directly connected to contractual obligations. (See Compl., ¶¶ 58, 83, 99, 125 and 169.)

Similarly, per the Complaint "Defendants agreed to provide non-hazardous remediation services…." (Compl., ¶ 15.) Consequently, the claim asserting "Defendants breached their standard of care by improperly disposing of non-hazardous soil," arises directly from a contractual obligation. (Compl., ¶ 180 [Seventh Cause of Action [Count 3].)

In responding to the demurrer, Plaintiff argues the following: "[C]ourts will generally enforce the breach of a

			contractual promise through contract law, except when the actions that constitute the breach violate a social policy that merits the imposition of tort remedies." (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 992.) The Court in *Robinson* held "the economic loss rule does not bar Robinson's fraud and intentional misrepresentation claims because they were independent of Dana's breach of contract." (*Id*. at 991.) The Court also further explained, "Our holding today is narrow in scope and limited to a defendant's affirmative misrepresentations on which a plaintiff relies and which exposes a plaintiff to liability for personal damages independent of the plaintiff's economic loss." (*Id*. at 993.) This stated exception applies to only some of the claims challenged by Defendants. In particular, the exception based on intentional misrepresentation applies solely to Counts 1 and 3, within the Third Cause of Action, to which the Demurrer is OVERRULED. As Plaintiff has not identified an applicable exception to claims for negligence, **the Demurrer is SUSTAINED as to the Second Cause of Action (Count 1), Second Cause of Action (Count 3), Seventh Cause of Action (Count 1) and Seventh Cause of Action (Count 3).** With respect to the remaining counts for negligent misrepresentation, fraudulent misrepresentation and negligence, not addressed above, it is not clear the claims arise from contractual obligations, as asserted by Defendants within the Demurrer. Within these remaining claims Plaintiff alleges Defendants "represented they possessed valid and sufficient grounds to assert the Lien and Stop payment notice," when recording and serving the same. (Compl., ¶¶ 70-71 [Second Cause of Action (Count 2)] and (Compl., ¶¶ 112-113 [Third Cause of Action (Count 2).) Additionally, Plaintiff alleges Defendants "breached their standard of care by serving an invalid and improper Stop payment notice and recording an invalid and improper mechanics lien." (Compl., ¶175 [Seventh Cause of Action [Count 2)].)

		While the above claims are connected to the relationship established following contract formation, Defendants' assertions the claims "relate directly to contractual performance and compliance with contractual obligations" and "[n]o independent duty exists beyond the contract" (Demurrer: 5:5-7), have not been sufficiently supported by reference to contractual provisions or law. Essentially, Defendants have not established that the obligation to refrain from recording an improper lien (as alleged above) is purely contractual. Thus, the demurrer directed at the above counts (i.e. Second Cause of Action (Count 2), Third Cause of Action (Count 2) and Seventh Cause of Action (Count 2)) is OVERRULED. As to the Sixth Cause of Action for Constructive Fraud the same alleges "[b]y virtue of their relationship, Defendant owed Plaintiff duties of utmost good faith, full disclosure, and fair dealing in all matters pertaining to said relationship." (Compl., ¶ 158.) While labelled a claim for "constructive fraud," the allegations suggests the claim is actually a contractual claim for breach of the implied covenant of good faith: "The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made." (*Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1369.) As explained by the court in *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, "When a court enforces the implied covenant it is in essence acting to protect 'the interest in having promises performed'…This is the traditional function of a contract action. (Id. at 1394.) Further, the court explained that "it is clear to us that the recognition of a tort remedy for a breach of the implied covenant in a noninsurance contract has little authoritative support." (*Id*. at 1399.) Necessarily, the economic loss rule does not apply to bar additional contract claims and, consequently, the demurrer to the Sixth Cause of Action is OVERRULED.

		Defendants to give notice. ***Upcoming CMC & OSC*** In light of Defendants' response to the Complaint (i.e., the above-discussed demurrer), the court **DISCHARGES the Order to Show Cause set for 8/31/26**. As the action is not yet at-issue, **the court CONTINUES the Case Management Conference to December 7, 2026, at 10:00 am in Dept. W8**. All appearing parties SHALL file and serve a new timely case management statement <u>at least 15 calendar days prior</u> to the continued hearing as required by the rules, including California Rules of Court rule 3.725 and Local Rule 369. Plaintiff to give notice.
17	Cannon vs. Crown Point Condos No. 2	<u>Demurrer</u> The court **SUSTAINS in part, and OVERRULES in part,** Defendants CROWN POINT CONDOS NO. 2, SHERRI CHAPMAN and CHAD BRUNOCHELLI's demurrer to Plaintiff CINDY CANNON'S First Amended Complaint ("FAC"). Specifically, the court SUSTAINS the demurrer to the first, fourth, eighth, nineth and tenth causes of action, and OVERRULES the demurrer to the fifth cause of action (cancellation of instrument). Plaintiff is granted **15 days leave to amend as to the first and fourth causes of action only**. The FAC asserts the following causes of action: 1. Preliminary and permanent injunctions 2. Breach of fiduciary duty 3. Fraudulent concealment 4. Quiet title

5. Cancellation of instrument
6. Declaratory relief
7. Negligence
8. Defamation-libel
9. Defamation-slander
10. False light invasion of privacy
11. Accounting.

Defendants generally demur to the first, fourth, fifth, eighth, nineth and tenth causes of action. (Code Civ. Proc., § 430.10(e).) Defendants demur to the fourth, fifth, eighth, nineth and tenth causes of action based on uncertainty. (Code Civ. Proc., § 430.10(f).)

1st C/A (injunctive relief) - SUSTAIN

Moving Defendants demur to the first cause of action for preliminary and permanent injunction on the basis that this is not a cause of action, but rather an equitable remedy. In *Korean American Legal Advocacy Foundation v. City of Los Angeles* (1994) 23 Cal. App. 4th 376, 398-399 the court held, "A preliminary injunction is an interim remedy designed to maintain the status quo pending a decision on the merits. [Citation.] It is not, in itself, a cause of action. Thus, a cause of action must exist before injunctive relief may be granted." Similarly, in *Shamsian v. Atlantic Richfield Co*. (2003) 107 Cal. App. 4th 967, 984-985, the court held: "Correctly, the respondents state that a request for injunctive relief is not a cause of action. [citation] Therefore, we cannot let this "cause of action" stand."

Plaintiff does not contest these points but contends that in a Second Amended Complaint that she intends to file, she will restructure her claim for an injunction as an equitable remedy.

Accordingly, the court sustains the demurrer as to this cause of action, with leave to amend.

4th C/A (quiet title) - SUSTAIN

Section 761.020 of the Code of Civil Procedure requires that a complaint asserting a quiet title be verified and include certain information (e.g., description of the property and if real property, include both the legal description and street address/common designation; title of the plaintiff and the basis for the title; the adverse claims; the date a determination is sought).

Plaintiff's FAC is verified but deficient. For example, while an attachment to the FAC suggests that the property at issue is located at 179 McKnight Drive, Laguna Beach, CA, the FAC does not provide the unit number for the condominium at issue or the legal description of the property. (See FAC, ¶ 3 [stating Plaintiff is "the sole legal owner of a condominium unit in a 12-unit comlpex"].) Further, while the FAC alleges that Plaintiff is the sole legal owner (FAC, ¶¶ 3, 69), the FAC fails to state what type of title Plaintiff possesses or the basis for that title. Further, it's unclear from the FAC what ownership interest Plaintiff is alleging that the individual defendants are asserting.

Accordingly, the court SUSTAINS the demurrer as to the fourth cause of action with leave to amend.

5th C/A (cancellation of instrument) - OVERRULE

Section 3412 of the Civil Code provides, "A written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable, may, upon his application, be so adjudged, and ordered to be delivered up or canceled."

"To prevail on a claim to cancel an instrument, a plaintiff must prove (1) the instrument is void or voidable due to, for example, fraud; and (2) there is a reasonable apprehension of serious injury including pecuniary loss or the prejudicial alteration of one's position. [Citation.]" (*Thompson v. Ioane* (2017) 11 Cal.App.5th 1180, 1193-1194 [internal citations omitted]).

The FAC alleges that Defendants caused to be recorded "Superseding CC&Rs" and other documents affecting the title to the condominium project, and that these instruments are void or voidable because they were created and recorded by entities that were either

		terminated by the Francise Tax Board or formed in violation of California law. Plaintiff also alleges that there is a reasonable apprehension that if these instruments are left outstanding, they will cause serious injury to Plaintiff by clouding her title and diminishing her property value. (FAC, ¶¶ 72, 73.) Moving Defendants argue that this cause of action fails because it is duplicative of the quiet title cause of action, citing *Deutsche Bank National Trust Co. v. Pyle* (2017) 13 Cal.App.5th 513, which held, “Where a complaint seeks to quiet title to real property and cancel an instrument and both claims are based on the same facts, it is said that the cancellation claim is incidental to the claim to quiet title such that the action asserts only one claim.” (*Id.* at 523.) The court went on to state that quieting title “is the relief granted once a court determines that title belongs in plaintiff. In determining that question, where a contract exists between the parties, the court must first find something wrong with that contract. In other words, in such a case, the plaintiff must show he has a substantive right to relief before he can be granted any relief at all. Plaintiff must show a right to rescind before he can be granted the right to quiet his title.” (*Id*. at 523-524.) *Deutsche Bank National Trust* is distinguishable here. *Deutsche Bank National Trust* deals with an appeal of a trial court’s order granting summary judgment, a ruling that occurred after a default judgment was reversed in a related action. The default judgment was found to be void and the summary judgment concerned the impact of the void default judgment and whether defendants were entitled to bona fide purchaser or encumbrancer status. The instant motion is not for summary judgment, but is for a demurrer. The court of appeal discussed “the difference between quiet title relief and cancellation of instruments … to show that defendants cannot rely on the quiet title statutes.” (*Id*. at 523.) Here, we are not dealing with a summary judgment motion or an issue of whether a party can rely on the quiet title statutes. Rather, we are dealing with a demurrer to a cause of action for cancellation of instruments, and the

		demurrer to the quiet title action is sustained (as explained above). The court finds that the FAC adequately pleads a cause of action for cancellation of instruments. The FAC alleges that Defendants recorded the superseding CC&R's and alleges the basis as to why they should be rescinded (the HOA was terminated/a defunct entity at the time of the recording, among other reasons). The FAC also pleads that there is a reasonable apprehension of serious injury, including the restricted use of her property pursuant to the superseding CC&R's and diminished property value. As Plaintiff notes, a plaintiff is permitted to plead alternative and inconsistent theories or remedies. (See, e.g., *Mendoza v. Continental Sales Co.* (2006) 140 Cal.App.4th 1395, 1402.) Accordingly, the court OVERRULES the demurrer to the fifth cause of action. ***8th, 9th and 10th C/As (defamation, invasion of privacy) - SUSTAIN*** In its opposing papers, Plaintiff states that it is "voluntarily omitting" the eighth, ninth and tenth causes of action. (Opp'n Br. at p. 2, lines 5-9.) Accordingly, the court SUSTAINS the demurrer as to these causes of action *without leave to amend*. Moving Defendants to give notice.
18	Hernandez vs. Ayres-Orange, L.P.	Demurrer Motion to Strike ***1. Demurrer*** The court **OVERRULES in part and SUSTAINS in part,** Defendant AYRES-ORANGE, L.P.' demurrer to the Complaint of Plaintiffs RICHARD HERNANDEZ and RUBI HERNANDEZ, by and through her guardian ad litem

RICHARD HERNANDEZ. The court grants ***20 days leave to amend*** to correct the deficiencies.

The Complaint asserts the following causes of action against Defendant AYRES-ORANGE, L.P., the only specifically named defendant:

1. Negligence
2. Private nuisance
3. Public nuisance
4. Intentional infliction of emotional distress (IIED)
5. Breach of contract
6. Fraudulent concealment

Defendant demurs to each cause of action, generally and on the ground of uncertainty. (Code Civ. Proc., § 430.10(e), (f).)

First, as to uncertainty, the Complaint is not so uncertain that Defendants cannot reasonably respond. “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (*Khoury v. Maly’s of California, Inc*. (1993) 14 Cal.App.4th 612, 616.) Errors and confusion created by “the inept pleader” are to be forgiven if the pleading contains sufficient facts entitling plaintiff to relief. (*Saunders v. Cariss* (1990) 224 Cal.App.3d 905, 908.) As such, the uncertainty demurrer is OVERRULED.

1st C/A (negligence) - OVERRULE

The first cause of action alleges Defendant breached the duty to exercise reasonable care in the ownership, management, and control of the premises, which resulted in a bed bug infestation that injured Plaintiffs. (See Compl. ¶¶ 53-61.)

To state a claim for negligence, plaintiff must allege that: (i) the defendant owed a duty to the plaintiff, (ii) that the defendant breached that duty, and (iii) that the breach proximately caused the plaintiff’s injuries. (*Kesner v. Superior Court* (2016) 1 Cal.5th 1132, 1159.) The existence of duty is a question of law for the courts. (*Isaacs v. Huntington Mem. Hosp.* (1985) 38 Cal.3d 112, 124.)

Notably, the doctrine of negligence per se creates a presumption of negligence arising from violation of a statute. (See Evid. Code, § 669.) "'[T]he doctrine of negligence per se is not a separate cause of action, but creates an evidentiary presumption that affects the standard of care in a cause of action for negligence'" if the injury resulted from an occurrence that the regulation was designed to prevent, and if the person injured was within the class for whose protection the regulation was adopted. (*Terner v. Seterus, Inc*. (2018) 27 Cal.App.5th 516, 534, citing *Millard v. Biosources, Inc*. (2007) 156 Cal.App.4th 1338, 1353, fn. 2; *Randi W. v. Muroc Joint Unified Sch. Dist*. (1997) 14 Cal.4th 1066, 1087.)

Here, the allegations regarding violations of Health and Safey Code provisions create a presumption of duty and breach. Health and Safety Code Section 17920.3(12) was adopted to protect individuals such as Plaintiffs. The Complaint also sufficiently pleads ultimate facts showing, breach, causation, and damages. (Compl. ¶¶ 29, 32, 33, 39, 42, 45-46).

As such, the demurrer is OVERRULED as to the first cause of action.

<u>2nd C/A (private nuisance) - SUSTAIN</u>

The second cause of action alleges Defendant created a private nuisance by knowingly and intentionally failing to abate the bed bug infestation in Plaintiffs' hotel room. (Compl. ¶ 66.)

"[P]rivate nuisance is a civil wrong based on disturbance of rights in land.... [T]o proceed on a private nuisance theory the plaintiff must prove an injury specifically referable to the use and enjoyment of <u>his or her land</u>." (*Mendez v. Rancho Valencia Resort Partners, LLC* (2016) 3 Cal.App.5th 248, 262, emphasis added.)

As Defendant argues, Plaintiff fails to allege a legally cognizable property interest. Hotel guests have no interest in realty to support a claim for nuisance. (See, e.g., *Erwin v. City of San Diego* (1952) 112 Cal.App.2d 213, 217 [holding "[t]he guests in the hotel are not tenants and have no interest in the realty; they are mere licensees and the control of the rooms, halls and lobbies remains in the proprietor"].)

Therefore, the Complaint does not plead facts to support the private nuisance claim, and the court SUSTAINS the demurrer to the second cause of action.

3rd C/A (public nuisance)—SUSTAIN

The third cause of action alleges Defendant created a public nuisance by failing to abate the bed bug infestation at the Ayres Hotel Orange. (See Compl. ¶¶ 2, 89.)

"A public nuisance is one which affects at the same time an entire community or neighborhood, or any considerable number of persons, although the extent of the annoyance or damage inflicted upon individuals may be unequal.'" (*Melton v. Boustred*, 183 Cal.App.4th at p. 542; Civ. Code, § 3479.) Civil Code Section 3480 defines public nuisance as "[a nuisance] which affects at the same time an entire community or neighborhood, or any considerable number of persons, although the extent of the annoyance or damage inflicted upon individuals may be unequal." Any nuisance that does not fall within the definition of Section 3480 is private. (Civ. Code, § 3481.)

To plead a cause of action for public nuisance, Plaintiff must allege the following: (i) Defendant, by acting or failing to act, created a condition or permitted a condition to exist that was harmful to health, indecent or offensive to the senses, or was an obstruction to the free use of property, so as to interfere with the comfortable enjoyment of life or property; (ii) the condition affected a substantial number of people at the same time; (iii) an ordinary person would be reasonably annoyed or disturbed by the condition; (iv) the seriousness of the harm outweighs the social utility of defendant's conduct; (v) plaintiff did not consent that conduct; (vi) plaintiff suffered harm that was different from the type of harm suffered by the general public; and (vii) defendant's conduct was a substantial factor in causing

		plaintiff's harm. (See CACI 2020.) For a private party to maintain an action based on public nuisance, "[t]he damage suffered must be different in kind and not merely in degree from that suffered by other members of the public." (*Koll-Irvine Center Property Owners Assn. v. County of Orange* (1994) 24 Cal.App.4th 1036, 1040 [citations omitted].) Here, the Complaint pleads some elements but fails to allege facts showing that the condition affected a substantial number of people at the same time. Plaintiff alleges in only conclusory terms that the infestation affects the "public at large." (See, e.g., Compl. ¶ 93.) This is a mere restatement of the element. Plaintiff's other allegations that prior hotel guests "over years" had written reviews about the hotel and rooms contaminated with bed bugs do not show a substantial number of people were simultaneously affected by the infestation. (See Compl. ¶ 32.) The Complaint also fails to allege that plaintiff suffered harm that was different from the type of harm suffered by the general public. Therefore, the Complaint does not plead facts to support the public nuisance claim, and the court SUSTAINS the demurrer to the third cause of action. <u>4th C/A (IIED) - SUSTAIN</u> The fourth cause of action alleges that Defendant's conduct intentionally and willfully failing to put Plaintiffs on notice of the bed bug infestation and failure to eliminate or remediate the infestation caused Plaintiffs to suffer emotional distress. (See Compl., ¶¶ 113, 129-131.) To state a claim for intentional infliction of emotional distress, plaintiff must allege: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-1051.) "A defendant's conduct is 'outrageous' when it is so 'extreme as to exceed all bounds of that usually tolerated

			in a civilized community.' And the defendant's conduct must be 'intended to inflict injury or engaged in with the realization that injury will result.'" (*Ibid*.) "[S]evere emotional distress," for purposes of establishing a claim for intentional infliction of emotional distress, means "emotional distress of such substantial quality or enduring quality that no reasonable [person] in civilized society should be expected to endure it." (*Taylor v. Nabors Drilling USA, LP* (2014) 222 Cal.App.4th 1228, 1246. See also, *Girard v. Ball* (1981) 125 Cal.App.3d 772, 787-788.) [that a plaintiff lost sleep, had symptoms of anxiety, and suffered from nervousness, but sought no medical treatment, was insufficient to support an IIED claim].) "In order to avoid a demurrer, the plaintiff must allege with 'great[] specificity' the acts which he or she believes are so extreme as to exceed all bounds of that usually tolerated in a civilized community." (*Yau v. Santa Margarita Ford, Inc.* (2014) 229 Cal.App.4th 144, 160-161.) The Complaint must also allege specific facts to establish severe emotional distress, such as the intensity and duration of his emotional distress. (*Michaelian v. State Comp. Ins. Fund* (1996) 50 Cal.App.4th 1093, 1114; Fletcher v. Western Life Ins. Co. (1970) 10 Cal.App.3d 376, 397.) Here, the Complaint alleges that prior hotel guests had written reviews about the Subject Property on a third-party review platform. (See Compl., ¶¶ 32, 123.) Such is insufficient to show Defendant had actual or constructive notice of the alleged infestation. The Complaint alleges Defendants failed to regularly inspect and maintain the hotel rooms with reasonable care. (Compl., ¶ 39.) This falls short of extreme and outrageous conduct that exceeds the bounds of that usually tolerated in a civilized community. Lastly, the Complaint does not allege emotional distress of such substantial quality or enduring quality to support the claim for intentional infliction of emotional distress. Therefore, the Complaint does not plead facts to support the IIED claim, and the court SUSTAINS the demurrer to the fourth cause of action.

5th C/A (breach of contract) - OVERRULE

The fifth cause of action alleges Defendant breached the covenant of good faith and fair dealing implied in the parties' agreement, or the agreement to which Plaintiffs were third-party beneficiaries, relating to Plaintiffs' stay at the hotel. (Compl., ¶¶ 142-145.)

"There is implied in every contract a covenant by each party not to do anything which will deprive the other parties thereto of the benefits of the contract…. This covenant not only imposes upon each contracting party the duty to refrain from doing anything which would render performance of the contract impossible by any act of his own, but also the duty to do everything that the contract presupposes that he will do to accomplish its purpose." (*Harm v. Frasher* (1960) 181 Cal.App.2d 405, 417.) "It is universally recognized the scope of conduct prohibited by the covenant of good faith is circumscribed by the purposes and express terms of the contract." (*Carma Developers (Cal.), Inc. v. Marathon Development California, Inc.* (1992) 2 Cal.4th 342, 373 [citing other cases].)

The elements of a claim for breach of the implied covenant of good faith and fair dealing are: (i) the existence of a contract; (ii) the defendant's actions pursuant to the contract that destroys or injures the rights of the plaintiff to receive the benefits of the contract; and (iii) resulting damages. (*Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 36.)

Third-party beneficiary doctrine provides that: "A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescinded." (Civ. Code, § 1559.) "To show the contracting parties intended to benefit [a third party], [that] third party must show that, under the express terms of the contract at issue and any other relevant circumstances under which the contract was made, (1) 'the third party would in fact benefit from the contract'; (2) 'a motivating purpose of the contracting parties was to provide a benefit to the third party'; and (3) permitting the third party to enforce the contract 'is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.'" (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1337, affirmed July 3, 2025, citing *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 830.)

Here, the Complaint alleges facts showing Plaintiffs' standing as third-party beneficiaries to the contract relating to Plaintiffs' hotel stay, Defendant's breach of the implied covenant to provide a habitable hotel room, and damages. (See Compl. ¶¶ 14, 26, 27, 148-151, Exh. A.)

As such, the court OVERRULES the demurrer to the fifth cause of action.

6th C/A (fraudulent concealment) - SUSTAIN

The sixth cause of action alleges Defendant fraudulently concealed a bed bug infestation in Plaintiffs' hotel room. (Compl., ¶¶ 155-159.)

The elements of a cause of action for fraudulent concealment are: (i) concealment or suppression of a material fact; (ii) by a defendant with a duty to disclose the fact to the plaintiff; (iii) defendant's intent to defraud plaintiff by intentionally concealing or suppressing the fact; (iv) plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (v) as a result, the plaintiff sustained damage. (*Hambrick v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162; see also Civ. Code, § 1573.)

"If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, . . . the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. '[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] . . . are insufficient for the foregoing purposes.' (*Goodman [v. Kennedy* (1976) 18 Cal.3d 335,] 347.)" (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43-44.)

Here, the Complaint does not allege specific facts sufficient to establish that Defendant was aware that Plaintiffs' hotel room was infested with bed bugs to begin with or that Defendant intentionally concealed that fact. The Complaint alleges that prior hotel guests had written reviews about the hotel premises on a third-party review platform (see Compl., ¶¶ 32, 123) and that Defendants failed to regularly inspect or maintain the room (Compl., ¶ 39). Such is insufficient to show Defendant had actual or constructive notice of a bed bug infestation in Plaintiffs' hotel room, such that Defendant had exclusive knowledge or access to this fact.

Thus, the court SUSTAINS the demurrer to the sixth cause of action.

Should Plaintiffs desire to file an amended complaint that addresses the issues in this ruling, Plaintiffs shall file and serve the amended complaint within 20 days.

Defendant to give notice.

2. ***Motion to Strike***

The court **DENIES in part, and GRANTS in part,** Defendant AYRES-ORANGE, L.P.'s motion to strike certain portions of the Complaint of Plaintiffs RICHARD HERNANDEZ and RUBI HERNANDEZ, by and through her guardian ad litem RICHARD HERNANDEZ. The court grants ***20 days leave to amend*** to correct the deficiencies.

Re Punitive Damages

Defendant moves to strike punitive damages allegations in paragraphs 45, 109, 134-136, and Prayer at paragraph 168.

			The motion is DENIED as MOOT as to paragraphs 109 and 134-136, given the concurrent ruling sustaining the demurrer to the third and fourth causes of action. To plead a claim to recover punitive damages, a plaintiff must allege facts supporting malice, oppression, or fraud. (Civ. Code, § 3294(a).) To plead a claim to recover punitive damages against an employer based on the acts of an employee, a plaintiff must plead facts showing the employer's officer, director, or managing agent "had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud or malice. (Civ. Code, § 3294(b).) Here, the court finds the Complaint alleges insufficient facts to support the claim for punitive damages. <u>Attorney's Fees</u> Defendant also moves to strike a prayer for attorney's fees set forth in paragraphs 110, 151, and the Prayer for Relief at paragraph 167. The motion is DENIED as MOOT as to paragraph 110, given the concurrent ruling sustaining the demurrer to the third cause of action. A prevailing party may recover attorney's fees only if provided for by contract or statute. (Code Civ. Proc., § 1033.5.) The Complaint alleges no facts supporting a contractual right to recover attorney's fees. As such, the motion is GRANTED as to paragraph 151, and the Prayer for Relief at paragraph 167. <u>Injunctive and Equitable Relief</u> Defendant also moves to strike a prayer for injunctive and/or equitable relief set forth in paragraphs 99 and the Prayer for Relief at paragraph 169.

			The motion is DENIED as MOOT as to paragraph 99, given the concurrent ruling sustaining the demurrer to the third cause of action. To seek injunctive relief, a plaintiff must plead: (i) a tort or other wrongful acts; and (ii) grounds for equitable relief of this kind (i.e., inadequacy of remedy at law). (*Connerly v. Schwartzenneger* (2007) 146 Cal.App.4th 739, 748-749.) Here, the Complaint alleges no facts supporting equitable relief. As such, the motion is GRANTED as to the Prayer for Relief at paragraph 169. <u>Miscellaneous Allegations</u> Defendant also moves to strike allegations in paragraphs 3, 4, 21, 22, 23, 32, 47, 48, 56, 57, 58, 63, 86, 123, 149, 157, 156, and 166 of the Complaint. This request constitutes an improper procedural line-item veto. (See *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1683.) As such, the motion is DENIED as to these miscellaneous requests. Should Plaintiffs desire to file an amended complaint that addresses the issues in these ruling, Plaintiffs shall file and serve the amended complaint within 15 days of service of the notice of ruling. If no amended complaint is timely filed and served, Defendant SHALL file an answer to the remaining portions of the Complaint within 30 days thereafter (i.e., after the due date for the amended pleading). Defendant to give notice.

19	Aranda vs. Paje Optometric, APC	<u>Motion for Summary Judgment and/or Adjudication</u> The court **DENIES** Defendant PAJE OPTOMETRIC, APC, d/b/a ADVANCED OPTOMETRY OF MISSION **VIEJO's motion for summary judgment** on the Complaint by Plaintiff LAURA ARANDA. The court **GRANTS in part, and DENIES in part,** the **alternative motion for summary adjudication**. Specifically, the court GRANTS the motion as to the eighth cause of action (interference with CFRA rights), the ninth cause of action (retaliation for exercising CFRA rights), and as to Plaintiff's claim for punitive damages. Summary adjudication is DENIED as to the first, second, third, fourth, fifth, sixth, seventh, tenth, eleventh, twelfth, and thirteenth causes of action of the Complaint. The Complaint asserts the following causes of action against Defendant, the only specifically named defendant: 1. Sex/Gender/Pregnancy Discrimination in Violation of the FEHA; 2. Disability Discrimination in Violation of the FEHA; 3. Retaliation in Violation of the FEHA; 4. Failure to Investigate and Prevent Discrimination and Retaliation in Violation of the FEHA; 5. Failure to Provide Reasonable Accommodations in Violation of the FEHA; 6. Failure to Engage in a Good Faith Interactive Process in Violation of the FEHA; 7. Violation of California Pregnancy Disability Leave Law; 8. Interference with CFRA rights; 9. Retaliation for Exercising CFRA Rights; 10. Failure to Provide Rest Periods; 11. Failure to Provide Meal Periods; 12. Unfair Business Practice in Violation of Cal. Lab. Code § 17200; and 13. Wrongful Termination in Violation of Public Policy. <u>Burden of Production in Employment Law Cases</u>

Courts utilize the *McDonnel Douglas* framework when analyzing employment law motions for summary judgment, which allocates the burdens of production and proof between the parties in an increasingly narrow focus:

- First, plaintiff/employee must establish a prima facie case of discrimination;
- Second, the burden of production then shifts to the employer to establish a legitimate, nondiscriminatory reason for its actions; and
- Finally, the burden shifts back to plaintiff/employee to establish that the employer's articulated reason was a "pretext" or cover-up for unlawful discrimination.

(*McDonnell Douglas Corp. v. Green* (1973) 411 US 792, 802-804.)

"A defendant's summary judgment motion 'slightly modifies the order of these [*McDonnel Douglas*] showings." (*Wills v. Superior Court* (2011) 195 Cal.App.4th 143, 160). "Consequently, [Defendant] had the initial burden to either (1) negate an essential element of [Plaintiff's] prima facie case [citation removed] or (2) establish a legitimate, nondiscriminatory reason for terminating [Plaintiff]. (Id.). "[T]o avoid summary judgment [once the employer makes the foregoing showing], an employee claiming discrimination must offer substantial evidence that the employer's stated nondiscriminatory reason for the adverse action was untrue or pretextual, or evidence that the employer acted with a discriminatory animus, or a combination of the two, such that a reasonable trier of fact could conclude the employer engaged in intentional discrimination." (*Id*.)

<u>Relevant Allegations/Facts</u>

Ms. Aranda began working for Dr. Harold Green's optometry practice in Mission Viejo, California in approximately September 2019. (Compl., ¶ 14, Exh. E.)

During the first quarter of 2021, Dr. Green passed away. After Dr. Green's death, Dr. Green's wife and widow, Lea Ann Green, as the successor-in-interest under the Will of

		Harold Green, OD, decided to close his practice. (SUMF 2; Response to SUMF 2.) Negotiations took place with Harold Green, O.D.'s widow, Lea Ann Green, for the purchase of the assets of Dr. Green's optometry practice. (SUMF 3; Response to SUMF 3.) In approximately March-April 2021, Defendant PAJE Optometric acquired Dr. Green's practice. (Fimreite Decl., ¶ 5 & Mvg. Evid., Exh. A). The new owners Dr. Patricia Atie-Fimreite, Dr. Jeffrey Fimreite, and Dr. Vanessa Grichine interviewed the existing staff, including Ms. Aranda, who was approximately six to six-and-a-half months pregnant and visibly showing at the time. (Ex. A, Aranda Depo. at p. 89, Exh. A; Grichine PMK Depo. at pp. 85-86, Exh. B.) During the interview, Ms. Aranda disclosed her pregnancy and her intent to take maternity leave and Defendant knew that Plaintiff was pregnant. (Id. & SUMF # 6.) Plaintiff requested pregnancy leave, which was approved from 6/21/21 to 8/30/21. (SUMF #7; Response to SUMF #7.) While these facts are largely undisputed, the parties' dispute revolves around what occurred toward the end of Plaintiff's leave. According to Defendant: • At no time did Defendant request that Plaintiff not return to work, or to return her keys. (SUMF 14.) • Plaintiff stopped by one day in mid-September with her new baby at Defendant's office and spoke to Dr. Vanessa Grichine. Dr. Grichine asked Plaintiff when she was coming back to work. Plaintiff responded, "I don't know". Plaintiff dropped off her keys when she stopped by, so Defendant concluded she had made the decision not to return to work. (Id.) • At no point in time did Plaintiff inform Defendant that she wanted to return to work. Plaintiff never

			informed Defendant of a date that Plaintiff intended to return to work. (Id.) • Because Plaintiff did not follow up, Defendant concluded that Plaintiff had abandoned her position and resigned, but Defendant did not terminate Plaintiff. (Id.) According to Plaintiff: • Defendant's version of facts is incorrect because Plaintiff testified that she returned her spare key before her baby was born (between June 18 and July 26, 2021), not in mid-September. (Opp Evid., Exh. A, Aranda Depo. at pp. 136-137.) • On 9/3/21, Plaintiff sent a text message to Dr. Atie about returning to work. (Opp Evid., Exh. C, Texts) • Ms. Aranda testified she wanted to go back to work. (Opp Evid., Exh. A, Aranda Depo. at p. 183:11-13.) • On 9/7/21, Dr. Atie responded: "We are going through some upcoming schedule changes at the office. Once we know exactly what our time requirements are, we will get back to you." (Opp'n Evid., Exh. C, Texts.) • Defendant's PMK, Dr. Grichine testified that after receiving Ms. Aranda's text, the response was: "Laura's coming back. We need her. Reach out to Laura. Let's get her back on the schedule." (Opp'n Evid., Exh. B, Grichine PMK Depo. at pp. 88-89.) When asked if she personally reached out to Ms. Aranda after that conversation, Dr. Grichine answered: "No." When asked if the office manager reached out: "I don't know." When asked if Dr. Atie ever reached out: "I don't recall." (Opp'n Evid., Exh. B, Grichine PMK Depo. at p. 89:11-19.) • After 9/7/21, no one from PAJE ever contacted Ms. Aranda again. (Opp'n Evid., Exh. A, Aranda Depo. at p. 153:4-6.) Ms. Aranda never received any communication that her employment was terminated, that she was replaced, or that she was

expected to take any action to return. (Id.) After months of silence, Ms. Aranda reasonably concluded she had been terminated. (Id. at p. 182.)

Under Plaintiff's version of events, after Plaintiff reached out to ask about coming back, Defendant made no efforts to follow through such that Plaintiff deemed Defendant's silence to be constructive termination.

1st – 7th C/As

It appears undisputed that following the expiration of her pregnancy leave, Plaintiff never returned to work. Defendant therefor argues that Plaintiff never requested an accommodation and as such, Defendant never discriminated against her. Defendant also makes the alternative argument that even if Plaintiff requested an accommodation, Plaintiff cannot establish that Defendant terminated Plaintiff as a pretext for discrimination.

The court first broadly addresses these issues and then analyzes how these issues relate to each of the first through seventh causes of action.

Defendant's first main point is that because Plaintiff did not require or request an accommodation related to pregnancy or any disability, but simply did not return to work, there is no discrimination. The court finds that there are triable issues of fact on this issue. Here, there are sufficient undisputed and disputed facts to establish that triable issues of fact exist that Plaintiff was pregnant, requested a leave, and that upon her leave expiring, Plaintiff reached out to Defendant to discuss returning to work. Defendant responded, but saying they would follow up with Plaintiff, but Defendant did not follow up. (Opp'n Evid., Exh. A, Aranda Depo. at p. 183:11-13 [Plaintiff testifying that she would like to return to work], Exh. C, [texts messages showing that Plaintiff initiated contact at the end of her leave and Defendant's agent stated that they would get back to her]; Grichine PMK Depo. at pp. 88-89, Exh. B [Defendant's PMK testifying that Defendant acknowledged that Plaintiff wanted to come back and should reach out to her].)

		As part of a disability discrimination cause of action, FEHA requires that an employer engage in the "interactive process" to identify a reasonable accommodation. "'The "interactive process" required by the FEHA is an informal process with the employee ... to attempt to identify a reasonable accommodation that will enable the employee to perform the job effectively. ...' [Citation.]" (*Scotch v. Art Institute of California* (2009) 173 Cal.App.4th 986, 1013 (Scotch).) "'Although it is the employee's burden to initiate the process, no magic words are necessary, and the obligation arises once the employer becomes aware of the need to consider an accommodation.' [Citation.] Once the interactive process is initiated, the employer's obligation to engage in the process in good faith is continuous. '[T]he employer's obligation to engage in the interactive process extends beyond the first attempt at accommodation and continues when the employee asks for a different accommodation or where the employer is aware that the initial accommodation is failing and further accommodation is needed. ....' [Citation]." (*Ibid*.; see *Swanson v. Morongo Unified School Dist.* (2014) 232 Cal.App.4th 954, 971-972.) "Both employer and employee have the obligation 'to keep communications open' and neither has 'a right to obstruct the process.' [Citation.] 'Each party must participate in good faith, undertake reasonable efforts to communicate its concerns, and make available to the other information which is available, or more accessible, to one party. Liability hinges on the objective circumstances surrounding the parties' breakdown in communication, and responsibility for the breakdown lies with the party who fails to participate in good faith.' [Citation.]" (*Scotch*, 173 Cal.App.4th at 1014.) This is important because it is the interactive process that determines which accommodation is required. (*Scotch*, 173 Cal.App.4th at 1016.) Once an employer is aware of a disability, it has an "affirmative duty" to make reasonable accommodations for the employee. (Cal. Code Regs., tit. 2, § 11068(a) ["An employer or other covered entity has an affirmative duty to make reasonable accommodation(s) for the disability of any ... employee if the employer ... knows of the disability, unless the employer ... can demonstrate,

			after engaging in the interactive process, that the accommodation would impose an undue hardship."].) Where a necessary accommodation is obvious and available and the employer fails to provide it, a plaintiff may sue for failure to provide a reasonable accommodation under FEHA. (See *Scotch*, at pp. 1016-1017; *see also id*. at pp. 1009-1010 [elements of a failure to accommodate claim].) "A woman is 'disabled by pregnancy' if, in the opinion of her health care provider, she is unable because of pregnancy [to work at all or is unable] to perform any one or more of the essential functions of her job or to perform these functions without undue risk to herself, to her pregnancy's successful completion, or to other persons." (*Paleny v. Fireplace Products U.S., Inc*. (2024) 103 Cal.App.5th 199, 209.) Here, it is undisputed that Plaintiff was pregnant, obtained the opinion of a health care provider, and that Plaintiff was granted pregnancy leave. Once Plaintiff's leave was at its end, Plaintiff affirmatively contacted Defendant to discuss the logistics of returning back to work. Defendant acknowledged this discussion with Plaintiff, but did not follow up with Plaintiff. These facts create a triable issue as to whether or not Defendant made reasonable efforts to communicate, whether Defendant failed to offer further accommodation, and whether or not Defendant breached its affirmative duty to engage in the interactive process. A finding of a failure to accommodate constitutes disability discrimination under FEHA. Defendant's second point is that there was no adverse employment action because, from these facts, Plaintiff resigned and abandoned her post—Defendant did not terminate her. Plaintiff argues that, based on these facts, Defendant, by not following up with her or reaching out to her, constructively terminated her and placed job advertisements to seek her replacement. (Opp'n Evid., Exh. B, Grichine PMK Depo. at p. 92:6-7.) Both parties, therefore, ask the court to infer the facts in their favor—was it abandonment by the employee or constructive termination by Defendant?

The legal standard on motions for summary judgment guides the court's analysis: The moving party's evidence is strictly construed, while the opposing party's evidence is liberally construed, and any doubts as to whether summary judgment should be granted must be resolved in favor of the opposing party. (*Johnson v. American Standard, Inc*. (2008) 43 Cal.4th 56, 64; *accord*, *Atkins v. St. Cecilia Catholic School* (2023) 90 Cal.App.5th 1328, 1344-1345; *Trop v. Sony Pictures Entertainment, Inc.* (2005) 129 Cal.App.4th 1133, 1143.) "The court focuses on finding issues of fact; it does not resolve them. The court seeks to find contradictions in the evidence or inferences reasonably deducible from the evidence that raise a triable issue of material fact. [Citation.]" (*Trop*, 129 Cal.App.4th at 1143-1144.) Inferring the evidence most liberally in favor of the opposing party, here Plaintiff, the court finds a triable issue of fact. The question of whether or not these same set of facts establish abandonment/resignation and/or constructive termination is a triable issue of fact for a jury to decide.

Finally, Defendant argues that to the extent there was a termination, Defendant had a legitimate, non-discriminatory reason. Because Plaintiff did not follow up further, Defendant assumed that Plaintiff did not want to return to work. Any constructive termination, therefore, was not based on any discriminatory intent. The court finds that this is sufficient to meet Defendant's prima facie burden of establishing a legitimate, non-discriminatory reason.

The burden then shifts to Plaintiff to offer sufficient evidence to establish pretext. The court finds that Plaintiff has offered sufficient evidence to show a triable issue of material fact regarding whether or not any termination was based on a legitimate, non-discriminatory reason or was a pretext for discrimination. Significantly, Plaintiff offers evidence of temporal proximity from the time of the end of Plaintiff's leave to when Defendant began searching for a replacement.

"Temporal proximity alone is not sufficient to raise a triable issue as to pretext once the employer has offered evidence of a legitimate, nondiscriminatory reason for the termination. [Citations.] This is especially so when the employer raised questions about the employee's performance before [the protected activity], and the subsequent termination is based on those performance issues. [Citations.]" (*Arteaga v. Brink's, Inc.* (2008) 163 Cal.App.4th 327, 353.) Specifically, "'[s]tanding alone against Defendant's strongly supported legitimate reason for terminating [Plaintiff], temporal proximity does not amount to more than a scintilla of evidence of [wrongdoing].'" (*Arteaga v. Brink's, Inc.* (2008) 163 Cal.App.4th 327, 353 [citation omitted].) On the other hand, temporal proximity together with other evidence may be sufficient to establish pretext. (*Id*. at 353-354.) For example, temporal proximity may be a factor where an employee with a good performance record is suddenly accused of serious performance problems and terminated. (*Ibid*.)

Here, there is sufficient evidence of temporal together with other evidence that a trier of fact could reasonably infer pretext. There is no evidence of any performance issues with Plaintiff and/or that Plaintiff was not high performing. Defendant did not raise any issues with Plaintiff prior to Plaintiff's pregnancy leave. Further, despite knowing that Plaintiff contacted Defendant about returning, Defendant took no steps to confirm whether or not Plaintiff needed further accommodation, when Plaintiff should return, and/or if Plaintiff would like to resign. As such, triable issues of fact exist on this issue.

With these findings, the court analyzes whether or not Defendant met its burden of negating an element of the first through seventh causes of action.

A. *1st C/A (Sex/Gender/Pregnancy Discrimination in Violation of the FEHA) and 2nd C/A (Disability Discrimination in Violation of the FEHA)*

To allege disability discrimination, the plaintiff initially has the burden to present evidence that demonstrates, even circumstantially or by inference, that (1) the plaintiff had a condition related to pregnancy, childbirth, or a related medical condition; (2) the plaintiff requested

		accommodation of this condition, with the advice of her health care provider; (3) the plaintiff's employer refused to provide a reasonable accommodation; and (4) with the reasonable accommodation, the plaintiff could have performed the essential functions of the job. (*Lopez v. La Casa De Las Madres* (2023) 89 Cal.App.5th 365, 370-371; *Sandell v. Taylor-Listug, Inc.* (2010) 188 Cal.App.4th 297, 310.) Here, as the court found above, there are questions of fact regarding whether or not an accommodation was sought and whether the employer refused to provide a reasonable accommodation. The motion is therefore DENIED as to the first and second causes of action. ***B. 3rd C/A (Retaliation in Violation of the FEHA)*** To establish a prima facie case of retaliation under FEHA, a plaintiff must show (1) he or she engaged in a protected activity, (2) the employer subjected the employee to an adverse employment action, and (3) a causal link existed between the protected activity and the employer's action. (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1042.) Here, as the court found above, there are triable issues of fact as to whether or not Plaintiff engaged in protected activity (i.e., by requesting information on the logistics of her returning to work) and whether or not Defendant engaged in an adverse employment action (i.e., by constructively terminating Plaintiff's employment and finding a replacement). For these reasons, the motion is DENIED as to the third cause of action. ***C. 4th C/A (Failure to Investigate and Prevent Discrimination and Retaliation in Violation of the FEHA); 5th C/A (Failure to Provide Reasonable Accommodations in Violation of the FEHA); and 6th C/A (Failure to Engage in a Good Faith Interactive Process in Violation of the FEHA);*** The elements of a reasonable accommodation cause of action are (1) the employee suffered a disability, (2) the employee could perform the essential functions of the job

with reasonable accommodation, and (3) the employer failed to reasonably accommodate the employee's disability. (*Nealy v. City of Santa Monica* (2015) 234 Cal.App.4th 359, 373.)

A failure to engage in an interactive process cause of action requires a showing that the defendant failed to engage in the interactive process required by FEHA. As the court found above, there are questions of fact as to whether or not Defendant failed to reasonably accommodate Plaintiff. As such, Defendant has not negated an element of these causes of action. The motion is, therefore, DENIED as to the fourth, fifth, and sixth causes of action.

D. <u>7th C/A</u> (Violation of California Pregnancy Disability Leave Law)

The Pregnancy Disability Leave Law ("PDLL") applies to all employers with five or more employees. (Gov. Code § 12945(a).) Under the PDLL, an employee who takes pregnancy disability leave is entitled to be reinstated to the same or a comparable position. (Gov. Code § 12945(a)(5)(A).)

As the court found above, there are triable issues of fact regarding whether or not Defendant offered Plaintiff reinstatement after Plaintiff's pregnancy leave. Defendant, therefore, did not negate an element of this cause of action as triable issues of fact exist regarding a violation of the PDLL occurred or not. The motion is DENIED as to the seventh cause of action.

E. <u>8th C/A</u> (Interference with CFRA Rights) <u>and 9th C/A</u> (Retaliation for Exercising CFRA Rights)

The California Family Rights Act ("CFRA") entitles eligible employees to take up to 12 unpaid workweeks in a 12-month period to bond with a child. (Govt. Code, § 12945.2(a); *Gibbs v. American Airlines, Inc.* (1999) 74 Cal.App.4th 1, 6.) Upon an employee's return from leave under CFRA, an employer must generally restore the employee to the same or a comparable position. (Govt. Code, § 12945.2(a); Cal. Code Regs., tit. 2, § 7297.0, (f)-(g)). To be eligible for CFRA leave, an employee must have more than 12 months of service with their employer, have worked at least 1,250 hours in the 12-month period before the date they want to begin their leave, and their employer must have five or more employees (Govt. Code, § 12945.2(a).)

Defendant argues that Plaintiff did not work for Defendant for over 12 months and Plaintiff did not work at least 1,250 hours in the 12-month period before the date she began her leave. (SUMF #8.) The court finds that this evidence for Defendant to meets its prima facie burden.

To rebut this, Plaintiff argues that Plaintiff began working for Dr. Green's practice in September 2019 – years before her leave. The transition of ownership does not necessarily restart the clock for purposes of CFRA eligibility if there was a successor employer relationship, for example, if the new owners continue using the same facility, the same employees in their same roles, the same equipment, and engages in a similar business. (See *EEOC v. MacMillan Bloedel Containers, Inc.* (6th Cir. 1974) 503 F.2d 1086, 1094. [citations omitted].) The *EEOC* court held, "But the real question in each of these 'successorship' cases is, on the particular facts, what are the legal obligations of the new employer to the employees of the former owner or their representative. The answer to this inquiry requires analysis of the interests of the new employer and the employees and of the policies of the labor laws in light of the facts of each case and the particular legal obligation which is at issue, whether it be the duty to recognize and bargain with the union, the duty to remedy unfair labor practices, the duty to arbitrate, etc. There is, and can be, no single definition of 'successor' which is applicable in every legal context. A new employer, in other words, may be a successor for some purposes and not for others." (*Id*. at 1091.) As such, the court held that successor liability could be imposed in certain cases under Title VII. (*Id*. at 1094.)

Even if the court were to adopt this legal reasoning, Plaintiff failed to offer sufficient evidence to show that Defendant is the successor of Dr. Green and/or that successor liability should be imposed on Defendant. Plaintiff fails to analyze any factors of successor liability and identify admissible facts to establish that Defendant meets any of those factors. Indeed, the only evidence in the record is evidence that Defendant only purchased the assets identified in the purchase and sale agreement (Mvg. Evid., Exh. A) and that all employees would be terminated. (Fimrejte Decl., ¶¶ 6-7; Green Decl., ¶¶ 5-8.)

As such, the court finds that Plaintiff failed to meet its burden of showing a triable issue of material fact as to the CFRA claims. Summary adjudication is therefore GRANTED as to the eighth and ninth causes of action.

F. 10th C/A (Failure to Provide Rest Period) and 11th C/A (Failure to Provide Meal Periods)

"An employer shall not require an employee to work during a meal or rest or recovery period mandated pursuant to an applicable statute, or applicable regulation, standard, or order of the Industrial Welfare Commission, the Occupational Safety and Health Standards Board, or the Division of Occupational Safety and Health." (Lab. Code, § 226.7(a).)

Defendant argues that these causes of action are subject to summary adjudication because they had a compliant policy and because Plaintiff never complained about any meal or rest period violations.

An "employer is not obligated to police meal breaks and ensure no work thereafter is performed." (*Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1040.) An employer fulfills its duty with respect to breaks if it relieves its employees of all duty, relinquishes control over their activities and permits them a reasonable opportunity to take an uninterrupted … break, and does not impede or discourage them from doing so." (Ibid.) "[A]n employer may not undermine a formal policy of providing meal breaks by pressuring employees to perform their duties in ways that omit breaks. [Citations.] The wage orders and governing statute do not countenance an employer's exerting coercion against the taking of, creating incentives to forgo, or otherwise encouraging the skipping of legally protected breaks." (*Brinker*, 53 Cal.4th at 1040.)

Under California law, an employer may not merely have a policy of providing breaks—it must actually authorize and permit them. (*Brinker*, 53 Cal.4^{th} at 1040.) An employer's duty is to "relinquish control" over employees during breaks. (*Id*.) Where an employee is effectively on call during her break and feels compelled to interrupt her break to assist patients, there is a triable issue as to whether the employer provided legally compliant rest and meal periods. (See *Augustus v. ABM Security Services, Inc.* (2016) 2 Cal.5th 257, 269.)

Here, having a policy is not sufficient. Plaintiff testified that her breaks were routinely interrupted because the office was small and understaffed, and she felt compelled to attend to patients and answer phones during breaks. (Aranda Depo. at p. 152, Exh. A.) Plaintiff's declaration is sufficient to show a triable issue of material fact that Plaintiff was effectively on call during her break and felt compelled to interrupt her break to assist patients. As such, a triable issue of material fact exists as to whether or not the employer provided legally compliant rest and meal periods.

The motion is therefore DENIED as to the tenth and eleventh causes of action.

G. *<u>12th C/A</u> (Unfair Business Practices) <u>and 13th C/A</u> (Wrongful Termination)*

Defendant argues that because Defendant did not violate FEHA, then Plaintiff's derivative claims for unfair business practices fails and wrongful termination. (Citing *Featherstom v. S. Cal. Permanente Med. Grp*. (2017) 10 Cal.App.5th 1150, 1169 ["if an employer did not violate [the] FEHA, the employee's claim for wrongful termination in violation of public policy necessarily fails."].)

However, as the court found above, Plaintiff's FEHA claims are still viable as triable issues of fact exist. As such, Plaintiff's derivative claims for unfair business practices and wrongful termination, based on violations of FEHA are also still viable.

The motion is therefore DENIED as to the twelfth and thirteenth causes of action.

H. Punitive Damages

Defendant also moves for summary adjudication on the issue of punitive damages. Defendant argues that Plaintiff cannot establish malice, oppression, or fraud to support a punitive damages claim.

To plead a claim to recover punitive damages, a plaintiff must plead and show one of the following bases for imposition of exemplary damages, i.e. malice, oppression, or fraud. (Civ. Code, § 3294(a).) The statute specifically defines “malice” to mean “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code, § 3294(c)(1).) The statute defines “oppression” to mean “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code, § 3294(c)(2).)

The malice and oppression prongs include a requirement of “despicable conduct.” In other words, conduct carried on with a willful and conscious disregard of the rights or safety of others, but that is not “despicable,” will not support an award of punitive damages. (*College Hospital Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) “Punitive damages are proper only when the tortious conduct rises to levels of extreme indifference to the plaintiff’s rights, a level which decent citizens should not have to tolerate.” (*Lackner v. North* (2006) 135 Cal.App.4th 1188, 1210 [citations and quotation marks omitted].) Conduct carried on with a willful and conscious disregard of the rights or safety of others, but that is not “despicable,” will not support an award of punitive damages under the malice and oppression prongs. (*College Hospital, Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) “Despicable conduct” refers to circumstances that are vile, base, or contemptible that it would be looked down on and despised by reasonable people. (Ibid.) Such conduct has been described as “having the character of outrage frequently associated

			with crime." (*Scott v. Phoenix Schools, Inc.* (2009) 175 Cal.App.4th 702, 715.) To plead a claim to recover punitive damages against an employer based on the acts of an employee, a plaintiff must also plead facts showing the employer "had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or [wrongful] act must be on the part of an officer, director, or managing agent of the corporation." (Civ. Code, § 3294(b).) The California Supreme Court defined "managing agents" as those employees who exercise substantial independent authority and discretion in making decisions that ultimately determine corporate policy. (*White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 566-567.) In Plaintiff's opposing papers, Plaintiff fails to address the issue of punitive damages; does not identify the specific conduct for which Plaintiff contends constitute malice, oppression, or fraud; fails to identify the specific person who engaged in that conduct and whether or not they were a managing agent and/or whether or not Defendant ratified such conduct; and offers no legal authority to support Plaintiff's basis for punitive damages. As such, on the record before the court, no triable issues of material fact apparently exist on the issue of punitive damages. As such, the motion is GRANTED as to Plaintiff's claim for punitive damages. ***Evidentiary Objections:*** The court OVERULES Defendant's objection Nos. 1-20 to Plaintiff's evidence. Moving Defendant to give notice.

20	Chaudhary vs. Lakeside Maintenance Association	Motion for Summary Adjudication The court **DENIES** Defendants LAKESIDE MAINTENANCE ASSOCIATION and MARK WARD's motion for summary adjudication. The California Rules of Court require the following: If summary adjudication is sought, whether separately or as an alternative to the motion for summary judgment, ***the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion*** and be repeated, verbatim, in the separate statement of undisputed material facts. (Cal. Rules of Ct., rule 3.1350(b), emphasis supplied.) Defendants' moving papers do not comply with this rule. The notice of motion fails to state what issue is sought to be adjudicated. Instead, the notice of motion requests "an order granting summary adjudication in their favor of the Second Amended Complaint" and states that the motion "is made on the grounds that the plaintiff is <u>not</u> entitled to build his residential unit into the common areas of the LAKEWISE MAINTENANCE ASSOCIATION … [or] into the 'yard' area surrounding his residential unit…." (Not. of Mot, at p. 2, lines 2-11.) Glancing at the table of contents in support of the motion, the motion appears to be directed at numerous causes of action, including a "FIFTH CAUSE OF ACTION FOR NEGLIGENCE." (Mot. At p. 3, lines 16-17.) But there is no fifth cause of action for negligence. Plaintiff's Second Amended Complaint (SAC) asserts the following causes of action: 1. Declaratory judgment 2. Breach of covenants 3. Breach of the implied covenant of good faith and fair dealing 4. Violation of the Davis-Stirling Act

		5. Violation of the common interest development open meeting act 6. Negligence 7. Breach of fiduciary duty 8. Housing discrimination in violation of FEHA 9. Retaliation in violation of FEHA 10. Injunctive relief The motion is procedurally defective and DENIED on that basis. Plaintiff to give notice.